Three Worries Families Carry About Paying for Dad's Care Someday, and What to Do With Each One

What each one looks like, why it comes up, and the habit that helps with all three.

Most families who start thinking ahead about the cost of care carry the same three worries. None of them is a mistake, and none means anyone has done anything wrong. One habit helps with all three.

1 Worrying that long-term care expenses could consume savings

WHAT IT LOOKS LIKE It comes up after a friend tells you what her mother's care cost, or when you drive past the new assisted living place on the way to Dad's. You find yourself doing arithmetic in your head with numbers you don't have.

WHY IT HAPPENS The worry is reasonable, and it has nothing firm to rest on yet. The federal Administration for Community Living says the cost of long-term care depends on the type and duration of care a person needs, the provider and where they live. Nobody can put a number on care Dad doesn't need, and a family rarely has his income, savings and policies on one page to set beside it. [1]

> **WHAT TO DO INSTEAD** Give the worry a page to sit on. List what Dad has by name, with the date at the top, and write one question for your Medicaid planner: “What might care cost where Dad lives, and how long might his resources last?” That is a projection for a professional to make with real numbers. It isn't one to work out in the car.

2 Believing everything must be spent before Medicaid can help

WHAT IT LOOKS LIKE “Medicaid only helps once it's all gone.” Somebody says it at Sunday dinner, nobody disagrees, and from then on it is treated as settled. Planning seems pointless, so the subject is dropped.

WHY IT HAPPENS It gets repeated often, and it sounds like a rule. The public sources describe something less simple. The Administration for Community Living says that when a state determines financial eligibility for Medicaid, some assets are counted while others are excluded, and that the assessment can be fairly complex. For a married couple, Medicaid.gov says a certain amount of the couple's combined resources is protected for the spouse living in the community. What any of that comes to for one family depends on the state and the situation. [2] [3]

> **WHAT TO DO INSTEAD** Write the belief down as a question, with where you heard it: “We've heard everything has to be spent first. How much of Dad's money would actually have to be spent, in his state and his situation?” Bring it to your Medicaid planner. Until someone who knows his state has answered, it is something you heard.

3 Being afraid that moving or using money incorrectly could hurt Medicaid eligibility

WHAT IT LOOKS LIKE You'd like to help Dad get organized, and you're wary of touching anything in case it turns out to be the wrong move. So the folder stays in the drawer, and the questions you had stay unasked.

WHY IT HAPPENS The caution has a real basis. The Consumer Financial Protection Bureau's guide for agents under a power of attorney says Medicaid is complicated, and to get legal advice and be very careful about decisions that may affect eligibility. But that advice is about decisions. Listing what Dad has, reading a policy and writing down a question change nothing. [4]

> **WHAT TO DO INSTEAD** Sort what's on your mind into two piles. Looking, listing and asking can go ahead whenever you like. Anything that would mean giving away, moving or retitling something, or buying a financial product, gets written down, marked ASK FIRST, and taken to your Medicaid planner or an elder law attorney before anything is done.

The one habit behind all three

Write the worry down as a question, note where it came from, and note who can answer it. A question on paper can be taken to the right person.

What this guide doesn't do

It doesn't tell you what care would cost, how much of Dad's money would have to be spent, or how any gift, transfer or purchase would be treated. It isn't legal, financial or tax advice. It names three worries, which are the same three the Medicaid Planning Roadmap sees at this step.

Ready for the next step?

You know which of your worries are really open questions, and who to bring them to. The planning interview gives those questions somewhere to go: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

The statement about what the cost of care depends on, and the statement that some assets are counted while others are excluded, come from the Administration for Community Living. The statement about a couple's resources comes from Medicaid.gov. The caution about Medicaid comes from the Consumer Financial Protection Bureau. The three worries are the Medicaid Planning Roadmap's own.

1. Administration for Community Living (LongTermCare.gov), Costs of Care
2. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
3. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment
4. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney

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